Internal Compliance Review Operating Guidelines

Introduction

This document outlines HarborPoint Community Bank's internal standards for managing compliance-related events in a consistent, well-controlled manner. It is intended to support timely escalation, appropriate documentation, and effective coordination across Compliance, Legal, HR, and business units. The guidance applies to all employees and contractors supporting lending and treasury services. Adherence to these practices helps protect customers, the Bank, and regulatory standing.

Compliance Concern Intake and Escalation (Designated)

Once a potential internal compliance issue is designated for escalation, the Compliance Case Program (CCP) lead must first trigger the appropriate evidence-securing workflow when the matter involves customer data/PII exposure or the need to preserve system or security logs, ensuring records are captured before routine retention or access changes occur. As documentation and extracts are received from Information Security, IT, business line leaders, or other custodians, the case team will immediately place all items into the CCP Evidence Vault to centralize review and prevent informal redistribution. Each file must be saved under the standard case naming format (CASECODE_Source_YYYYMMDD) so that the investigation timeline and origin can be reconstructed without ambiguity. For every item uploaded, the Evidence Register must be updated to reflect the chain of custody, including a plain-language description of the record, the provider/custodian, the date and time of receipt, the vault location or link, and any handling or access notes (e.g., redactions, encryption, or restricted viewing). Any discrepancies (missing metadata, incomplete exports, or conflicting versions) must be documented in the register and escalated to the CCP lead for corrective collection. Maintaining this discipline supports evidentiary integrity and defensibility for internal findings, regulator inquiries, and potential employee actions.

Conclusion

Consistent handling of potential compliance events is essential to maintaining HarborPoint's integrity and meeting regulatory expectations. Following these guidelines supports clear accountability, reduces operational and legal risk, and improves decision quality through reliable documentation. Proper coordination and confidentiality help ensure fairness to employees and protection of customer information. Ongoing adherence strengthens the Bank's risk culture across lending and treasury operations.